

interesting though is that despite this, the long-term performance of these models is still attractive, and given how they tend to outperform during slow or negative equity markets, there is every reason to believe that they will do well going forward.

Obviously our two strategies are more volatile than the benchmarks and show larger numbers for both return and risk. In the current shape they may seem a bit overly volatile but as long as the profits are strong in relation to the risk taken, there is no need for concern. The volatility level itself is not a problem, because it can be dialled back and forth very easily by modifying our position-sizing factor and thereby simultaneously decreasing risk and return at the same time. How this works is explored in detail in Chapter 5. Therefore, the ratio between the two is of much more importance than the absolute return and drawdown numbers.

A common way to compare strategies of different volatility is the Sharpe ratio. It is often seen as a universal way to rank strategies where you simply choose the one with the highest ratio. Before I explain why this is a bad idea, let me briefly explain what the Sharpe ratio is. The formula as such is quite simple: take the annualised historic return, deduct the so-called risk-free return, and then divide the result by the standard deviation of the strategy's return.

The real problem with this ratio is in how it reacts to volatility. Since we have volatility, in the shape of standard deviation of the returns in the denominator, the formula is of the distinct opinion that volatility is always bad and should be severely punished. The core idea is not wrong and it is certainly better to have smooth returns than volatile returns, but the way in which the standard Sharpe ratio is calculated makes no real sense for evaluating different styles of trading. The standard deviation formula is based on a theoretical mean return and whenever actual returns are far away from this, the deviation rises and causes a negative impact on your Sharpe ratio. Note that the standard deviation treats both positive and negative deviations equally, so if your strategy has a very strong run-up, such as occurred for most trend-following strategies during the second half of 2008, you may have excellent returns but your Sharpe ratio might not look so great.

Another reason why the Sharpe ratio is a bad idea for our kind of strategies is that we are essentially dealing with highly leveraged trading. Exactly how leveraged we are is a matter of debate when you deal in cross-asset strategies and many traditional measures of leverage may not make much sense in this context, but we are certainly leveraged. If you study the position-sizing formula presented earlier, you'll find that it has a key input